

plants will be erected for, say, \$10 million. A year or two after these plants are in full-scale operation, the company's engineers will go over them in detail. They will come up with proposals for spending an additional, say, \$1½ million. For this 15 per cent greater total capital investment the engineers will show how the output of the plants can be increased by perhaps 40 per cent of previous capacity.

Obviously, since the plants are already profitable and 40 per cent more output can be made and sold for only 15 per cent more capital cost, and since almost no additional general overhead is involved, the profit margin on this extra 40 per cent of output will be unusually good. If the project is large enough to affect the company's earnings as a whole, buying the company's shares just before this improvement in earning power has been reflected in the market price for these shares can similarly mean a chance to get into the right sort of company at the right time.

What is the common denominator of each of the examples just given? It is that a worthwhile improvement in earnings is coming in the right sort of company, but that this particular increase in earnings has not yet produced an upward move in the price of that company's shares. I believe that whenever this situation occurs the right sort of investment may be considered to be in a buying range. Conversely, when it does not occur, an investor will still in the long run make money if he buys into outstanding companies. However, he had then better have a somewhat greater degree of patience for it will take him longer to make this money and percentage-wise it will be a considerably smaller profit on his original investment.

Does this mean that if a person has some money to invest he should completely ignore what the future trend of the business cycle may be and invest 100 per cent of this fund the moment he has found the right stocks, as defined in Chapter Three, and located a good buying point, as indicated in this chapter? A depression might strike right after he has made his investment. Since a decline of 40 to 50 per cent from its peak is not at all uncommon for even the best stock in a normal business depression, is not completely ignoring the business cycle rather a risky policy?

I think this risk may be taken in stride by the investor who, for a considerable period of time, has already had the bulk of his stocks placed in well-chosen situations. If properly chosen, these should by now have